

This isn't necessarily all bad news for active investors; some of the data could be encouraging or even useful to stock pickers. One revelation might be that active managers should consider focusing less on being stock pickers, and more on being "stock-unpickers"—in other words, avoiding the dogs.

This is very consistent with our core themes: Charley Ellis's "fewer unforced errors" and Charlie Munger's "be less stupid."

Identifying the characteristics of those 37,195 long-term money losers—the quantitative characteristics they share that could be screened out—might be useful. That negative screening strategy works very well in the world of fixed income. It is a common practice for quants, but the sheer number of money-losing stocks makes one wonder if that approach is being fully exploited. If screens could eliminate some of the long-term losers, it might not only improve returns, but could help to justify fees higher than simple indexing. Nearly all active managers today are not earning their keep relative to a cheap simple index strategy.

My interpretation of this study is it reveals another advantage of indexing: Not only are low costs and beta (market-matching performance) of indexing a given, but the research suggests that investors who index broadly may be more likely to hold the rare and outsized winners that drive much of the market gains over time.



What would you think if I told you there was a *guaranteed* way to own all of those outsized winners—that 1% of all equities? Read on to find out how...

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<sup>216</sup> Hendrik Bessembinder, Te-Feng Chen, Goeun Choi and John Wei, "Do Global Stocks Outperform US Treasury Bills?" [ssrn.com](https://ssrn.com) (July 9, 2019).

<sup>217</sup> Bessembinder is also the managing editor of *The Journal of Financial and Quantitative Analysis*, a position he's held since 2003.

<sup>218</sup> The authors note: "The finding that most stocks underperform US Treasury bills does not contradict the evidence that returns to broad stock markets handily outperform returns on